AOU
الجامعة العربية المفتوحة
Arab Open University
Egypt

Faculty of Business Administration

FIN341
Islamic Finance
Version B

Final Examination
2025-2026 / Fall

13 – January – 2026

Number of Exam Pages: 2 (including this cover sheet)	Time Allowed: 2 Hours

Instructions:

Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
This is a **CLOSED** book examination. NO documents of any kind are allowed.
You **MUST** answer the questions using only the answer booklets provided
You **MUST** return the examination paper together with your answer booklets.
Do **NOT** write your answers in pencil except graphs/sketches
Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
Students are allowed to use ***non-programmable*** calculators only (if needed).
Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Solve All questions

Question 1: (25 marks)

A Sukuk is structured as an Ijarah (leasing) agreement, where the asset is leased for a period of **5 years** with an annual rent of **$200,000.** The total value of the asset is **$1,500,000**, and the Sukuk investors receive **70%** of the lease income, while the issuer retains **30%**. If the market rate of return is **5%**, what is the price of the Sukuk? (Hint: PV = (C / r) × (1− (1+r)^−n))

Question 2: (25 marks)

In a Takaful system, the operator and participants share the profit and surplus. In a particular year, the total premium collected is **$2,000,000**, and the claims paid out amount to **$1,200,000**. The operator charges a fee of **15%** of the premiums. The surplus is to be distributed with **70%** going to the participants and **30%** to the operator. What is the total surplus, and how much does each party receive?

Question 3: (25 marks)

As an expert in Islamic funds management, explain the criteria for the selection of Islamic stocks for investing to an Islamic fund manager.

Question 4: (25 marks)

What are the appropriate risk mitigation strategies for any **five** major risks faced by Islamic banks and financial institutions?

End of Questions

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